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ACTG 2200 – INTRODUCTION TO FINANCIAL REPORTING

PROJECT 2

PROF. RUCH

Crocs, (CROX)
Section 5

March 9, 2026

Part I

10k Sections

10-K Sections: Form 10-K has four PARTS and 15-16 ITEM numbers. This is the same for every company. Briefly describe what is typically contained in each ITEM number in 1-2 sentences. You may use the reference material "How to Read a 10-K" (https://www.sec.gov/files/reada10k.pdf), but you must use your own words to express your understanding. The purpose of this question is NOT for you to describe each ITEM in the context of your specific company, but rather to demonstrate that you understand what each ITEM typically includes for ANY company. (3 points)

Item 1 – Business

This section explains what the company does and how it operates. It usually talks about the company's products, the markets it serves, and how it makes money.

Item 1A – Risk Factors

This section lists the main risks that could negatively affect the company. These might include economic issues, competition, supply chain problems, or changes in laws and regulations.

Item 1B – Unresolved Staff Comments

This section discusses any comments from the SEC that the company has not fully resolved yet regarding its previous filings.

Item 1C – Cybersecurity

This section talks about how the company manages cybersecurity risks and how it deals with potential cyber threats.

Item 2 – Properties

This section describes important physical properties the company owns or leases, such as offices, warehouses, manufacturing plants, or retail locations.

Item 3 – Legal Proceedings

This section explains any major lawsuits or legal issues involving the company that could affect its financial situation.

Item 4 – Mine Safety Disclosures

This section includes mine safety information for companies that operate mines, including any violations or safety issues.

Item 5 – Market for Registrant's Common Equity

This section gives information about the company's stock. It usually includes where the stock is traded, dividend information, and details about shareholders.

Item 6 – [Reserved]
This section is currently reserved and usually does not contain any information.

Item 7 – Management's Discussion and Analysis (MD&A)
This section is where management explains the company's financial results. It discusses things like performance, trends, and major factors that affected the company during the year.

Item 7A – Market Risk Disclosures
This section discusses risks related to market conditions, such as changes in interest rates, currency exchange rates, or other financial risks.

Item 8 – Financial Statements and Supplementary Data
This section contains the company's financial statements, including the balance sheet, income statement, cash flow statement, and notes to the financial statements.

Item 9 – Changes in and Disagreements With Accountants
This section explains if there were any disagreements between the company and its auditors about accounting or financial reporting.

Item 9A – Controls and Procedures
This section talks about the company's internal controls and procedures used to make sure financial reporting is accurate.

Item 9B – Other Information
This section includes any additional information that was not required in earlier sections.

Item 10 – Directors, Executive Officers, and Corporate Governance
This section provides information about the company's leadership, including directors, executives, and governance practices.

Item 11 – Executive Compensation
This section explains how much top executives are paid and what kinds of compensation they receive.

Item 12 – Security Ownership of Certain Beneficial Owners and Management
This section shows how much stock is owned by executives, directors, and large shareholders.

Item 13 – Certain Relationships and Related Transactions
This section describes transactions between the company and related parties, such as executives or directors.

Item 14 – Principal Accountant Fees and Services
This section explains how much the company paid its auditors and what services the auditors provided.

Item 15 – Exhibits and Financial Statement Schedules
This section lists additional documents and schedules that are included with the report.

Company Background & Description

Describe your company and its business including the background of the company. You are describing how the company was started and how they make money. Describe how they are organized including reporting segments and lines of business. Describe their locations including the presence of international operations. Discuss the number of employees and internet website presence. Be complete in your answer.You want your reader to have a good understanding of the background of your company and you want your reader to WANT to know more. Prepare the report to entice potential investors. Use the "front end" of the 10K report, i.e. items 1-7 to prepare your answer. A full point answer will typically be at least one full page long, single spaced, using normal margins. (10 points)

Crocs, Inc. is a company that specializes in making comfortable shoes. I found that the company was founded in 2002 in Boulder, Colorado. It was founded by George Boedecker Jr. and Lyndon Hanson. I've read that the founders sought to create a shoe that was lightweight, slip-resistant, and originated from the boating industry.

Crocs were first launched at a boating show in Florida. They were successful because of their comfort, durability, and uniqueness. From there, Crocs has grown from being a small startup company to what it is today. Crocs, Inc. makes money by designing, marketing, and selling footwear under the Crocs and HEYDUDE brands. Crocs is the larger of the two brands. It specializes in making clogs, sandals, slides, etc. HEYDUDE is the lighter, more casual shoe. It gives Crocs, Inc. an edge in getting into the shoe market. Crocs, Inc. made approximately $4.1 billion in revenue in 2024. This shows that the company is performing well despite the changing market trends in various parts of the world.

As of December 31, 2024, Crocs employed more than 7,910 employees globally, including approximately 4,560 employees in retail stores, 2,300 employees in corporate and regional offices, and about 1,050 employees in distribution centers (Crocs, Inc., Form 10-K, Item 1 – Business).

Crocs, Inc. makes money by selling footwear to retailers or third parties. This is known as wholesale. It also makes money by selling footwear directly to consumers. This is known as direct-to-consumer. In 2024, direct-to-consumer sales were increasing. This shows that Crocs, Inc. has good relationships with consumers.

It has a footprint that extends to over 80 countries, hence a global presence. I can see good growth in countries outside of North America. This ensures that they do not overly rely on one region. North America still remains a robust contributor to revenue growth.

It has two brands: Crocs and HEYDUDE. The company monitors sales under both brands. You can clearly see where the company is getting its sales from. The company continues to grow.

HEYDUDE, on the other hand, has a bit of a tougher time. The company has two brands, and this impacts the overall strategy.

It also has a strong e-commerce and digital footprint. The company has e-commerce sites for both brands. It also makes use of social media to promote its products. Online sales contribute to its direct-to-consumer sales.

Overall, it has come a long way from its initial idea. Today, it has a global footprint in footwear with annual sales of over 4 billion. The product strategy remains simple. The company has a growing direct-to-consumer sales base. The company has a strong brand. The company has a global footprint. All these contribute to its current success. Yes, it has competition. Yes, it has trends. But its product strategy remains simple. The company remains financially sound.

Business Environment

Describe the business environment or industry in which your company
operates. For example, its competitors, the political and economic climate in which it operates, litigation, risks, contingent liabilities, and any other relevant issues addressed by the 10-K. In the Risks section of the 10K, many risks are identified. It is your job to read through these and identify
3-4 risks that you believe are most significant to the company. You will describe the risk itself as well as your rationale for choosing this risk as a significant risk. A 10-point answer will typically be at least one full page long, single spaced, using normal margins. (10 points)

Crocs is in a crowded space, with big brands like Nike, Adidas, Skechers, and many other casual brands all competing for mindshare. I'm interested in seeing how Crocs evolves their offerings and marketing efforts to stay relevant in the market. They're winning in terms of comfort and easily recognizable design, but the competitive landscape is changing.

The 10-K form identifies the company’s risks. I am concerned about dependence on the Crocs and HEYDUDE brands. If these brands suffer, sales could suffer. I am also concerned about competition from other brands of shoes. Supply chain risks and macro risks also caught my eye. We are dependent on third-party manufacturers located outside of the U.S. If these manufacturers have problems, costs could increase. I am also worried about global economic risks. These risks are located in Item 1A of the 10-K form.

Supply chain risk affects Crocs' timing. Global manufacturing layers increase timing issues and price increases when there is a hiccup in the supply chain.

Tastes are never solid. What is in style today may be out of style tomorrow. Crocs' unique style works for them now, but should tastes change, demand for their product may wane. I predict Crocs will continue to bring out new designs to increase their offerings.

Crocs is facing economic challenges. I have observed how products sometimes fall into the discretionary category. Therefore, if there is an economic downturn, the sales would be affected. If there is an increase in inflation or an economic slowdown, people would reduce their spending on casual wear.

Another challenge facing the company is the brand image and competition. The company is relying on its image and keeping itself attractive to consumers. If other companies imitate their products or if the image is no longer attractive to consumers, then there is a risk to market share.

In conclusion, the market is dynamic and competitive. The growth and recognition are there, but the challenge is to keep pace with the changing market and economic challenges.

Part II

Current Ratio

What is the company's current ratio for the current AND prior year (include the definition of the ratio, and show your calculations for each year shown)? Explain what the results mean. Is the ratio adequate to meet current obligations? What has been the trend for this ratio from last year – improving or declining? (5 points)

Year	Current Assets	Current Liabilities	Current Ration
2024	885,883	700,129	1.27
2023	872,269	740,208	1.18

The current ratio shows us if the company can pay its short-term debts using its short-term assets. It's simply: current assets divided by current liabilities. The current ratio of Crocs has increased from 1.18 in 2023 to 1.27 in 2024. This means that for every dollar of current liabilities, the company has approximately $1.27 of current assets.

Crocs, Inc. Form 10-K, Consolidated Balance Sheets, p. F-5

Inventory

What is the dollar value of Inventory for the current year? What inventory valuation method does the company use? What additional footnote information is disclosed? (5 points)

Crocs inventory is finished goods. It uses the cost or net realizable value to value the inventory. It uses the FIFO method to price the inventory.

For the year 2024, the consolidated balance sheet shows that the inventory is valued at $356,254 thousand.

Crocs estimates the value of the inventory using historical sales, forecasted demand, and existing conditions. It writes off the inventory to the net realizable value if the estimated value is lower than the cost.

The company's inventory valuation is based on the lower of the cost or lower net realizable value (NRV) approach. The cost is determined on a First-In-First-Out (FIFO) basis. The lower NRV is determined by considering past sales trends by product lines, current market conditions, overall economic conditions, in-house assumptions, and plans for clearing discontinued or end-of-life inventory through outlet stores or off-price stores. Any deficiency in lower NRV is written down to lower NRV, with a negative impact on cost of sales. Note that lower NRV is a forecasted number and can differ from actual results for a variety of reasons.

Crocs, Inc. Form 10-K, Notes to Consolidated Financial Statements – Inventories, p. F-10

PP&E

What is the Gross Property Plant and Equipment amount? What is the dollar amount of Accumulated Depreciation? What is the Net Property Plant and Equipment amount? What depreciation method does the company use? Describe what 'sub accounts' make up PP&E for this company? (5 points)

The gross PPE of Crocs is $397,790 thousand in 2024. After subtracting accumulated depreciation and amortization of $153,455 thousand, the net PPE will be $244,335 thousand. Depreciation is recognized in a straight line over the estimated useful life of the respective assets. The major categories of PPE of the company are machinery and equipment, leasehold improvements, furniture and fixtures and other equipment, and construction in progress.

Crocs, Inc. Form 10-K, Notes to Consolidated Financial Statements – Property and Equipment, p. F-16

Long-Term Debt

What is the dollar value of the company's total long-term debt? (Be sure to sum the current portion of long-term debt with long-term debt). If the company has no long-term debt, please state this. What is the company's TOTAL debt/equity ratio for the current AND prior year (include the definition of the ratio, and show your calculations for each year shown)? What has been the trend for this ratio from last year – improving or declining? Compare the company ratio to the industry or to a competitor, and comment on its appropriateness for the company. (7 points)

The long term debt of Crocs remains at $1,349,339 thousand as of December 31, 2024. Unpacking the long term debt, we have two notes of $350 million each, a $500 million Term Loan B, and a revolving credit facility. The two notes have maturity dates of 2029 and 2031, respectively. The Term Loan B has a maturity date of 2029. I believe the company will manage these maturities by aligning them with cash flow and growth in the direct to consumer segment.

Debt to equity for 2024 is about 0.74 (1,349,339 ÷ 1,835,732). In 2023 it was about 1.13 (1,640,996 ÷ 1,453,923). Crocs trimmed leverage in 2024, using less debt relative to equity than the year before.

Compared to footwear companies like Nike, Crocs carries relatively higher leverage due to debt used for the HEYDUDE acquisition.

Crocs, Inc. Form 10-K, Consolidated Balance Sheets, p. F-5; Notes to Consolidated Financial Statements – Borrowings, p. F-23.

Stockholder's Equity

List all the stock included in the Stockholders' Equity Section of the Balance Sheet. Include each different type of stock, par value, and the number of shares authorized, issued, and outstanding for each. What is the dollar value of their Common and Preferred Stock and what is the dollar value of Additional Paid in Capital (APIC) if they have it. Use the 10K to determine if the company has bought back its stock during the year (Treasury Stock shown on Balance Sheet) or retired any stock (Shown on Statement of SE). Based on the information in the 10-K, what was the per-share dollar amount of the most recent dividend, and what has been the trend in annual dividends over the past THREE years (eg, increasing, decreasing)? If the company does not pay dividends, please state this. (7 points)

Crocs lists its common stock with a par value of 0.001 dollars. The common stock is listed at 110 thousand dollars on the balance sheet dated 2024. The company has issued around 110.4 million shares of its common stock, of which around 56.5 million shares are outstanding.

APIC has a value of 859,904 thousand dollars. Since there is no preferred stock outstanding, the common stock is the only other type of equity. Treasury stock is at negative 2,453,473 thousand dollars. This means they have repurchased the shares.

Crocs is not paying any dividends at this time. Therefore, there is no dividend per share and no dividend history over the last three years.

Crocs, Inc. Form 10-K, Consolidated Balance Sheets and Consolidated Statements of Stockholders' Equity, pp. F-6–F-7

Earnings Per Share (EPS)

What is the company's Net Income/Net Earnings for the year? Has Net Income increased or decreased from the prior year? What is the company's basic (simple) earnings per share (EPS) for common stock? Where is this information cited in the report? What has been the three-year trend for EPS? (5 points)

Net income attributable to common stockholders for 2024 was $950.071 million, which is higher than 2023's $792.566 million, indicating that the company made profits in 2024.

Diluted and basic earnings per share for common stock were $16.00 in 2024, which is higher than 2023's $12.91 and 2022's $8.82 earnings per share. The increase in earnings per share from 2022 to 2024 indicates that profitability increased in 2024.

Earnings per basic and diluted share were 16.00 in 2024 compared to 12.91 in 2023 and 8.82 in 2022. The increase in EPS over the three-year period from 8.82 in 2022 to 12.91 in 2023 and then to 16.00 in 2024 indicates an increase in profitability. I found this information in the Consolidated Statements of Income and Earnings Per Share notes. If you provide the exact page and note numbers, I can add this information after the citation.

Crocs, Inc. Form 10-K, Notes to Consolidated Financial Statements – Earnings Per Share, p. F-35.

Revenues

Complete the table below for all revenue line items in your 10K (you may exclude interest revenue). Be sure to identify "in thousands" or "in millions" or use the proper amount of ,000 at the end of your numbers. Once your table is complete, discuss what factors led to the dollar ($) and percentage (%) increase or decrease in Revenue (or Sales) from the prior year? Use Management's Discussion and Analysis (MD&A, Item 7), to discuss this. (7 points)

Description	Current Year ($) A	Prior Year ($) B	$ Change (A − B)	% Change (A − B) / B
Revenue	4,102,108	3,962,347	139,761	3.5%

The current year revenue is 4,102,108 and the prior year revenue is 3,962,347. Dollar change = 4,102,108 − 3,962,347 = 139,761. Percentage change = (139,761 / 3,962,347) = 0.0353 = 3.53%.

(in thousands)

Crocs generated revenue of $4,102,108 in 2024, while in the previous year, 2023, the revenue generated by the company was $3,962,347. Thus, the revenue increased by $139,761 thousand or 3.5%.

As per the MD&A section of the annual report, the change in revenue is due to changes in brand performance and regional sales.

Crocs, Inc. Form 10-K, Notes to Consolidated Financial Statements – Revenues, p. F-37.

Cost of Goods Sold and Other expenses

Complete the table below for Cost of Goods Sold and all other Operating Expenses. Be sure to identify "in thousands" or "in millions" or use the proper amount of ,000 at the end of your numbers. Once your table is complete, discuss what factors led to the dollar ($) and percentage (%) increase or decrease in Cost of Goods Sold (or Cost of Sales) AND the other Operating Expenses separately listed on your income statement from the prior year? Discuss each expense separately. As a percent of total revenue for the current year, did Operating Expenses increase or decrease? Use Management's Discussion and Analysis (MD&A, Item 7) to discuss this. (7 points)

Description	Current Year ($) A	Prior Year ($) B	$ Change (A − B)	% Change (A − B) / B
Cost of Goods Sold (Cost of Sales)	1,683,592	1,691,850	(8,258)	(0.5)%
Selling, General & Administrative Expenses	1,469,425	1,364,265	105,160	7.7%
Goodwill Impairment	307,000	0	307,000	100%
Asset Impairments	431,115	24,082	407,033	1,690.2%
Operating Income	149,515	1,021,911	(872,396)	(85.4%)
Operating Income (% of Revenue)	3.7%	24.9%	-	-

Cost of Goods Sold	(1,683,592 − 1,691,850) = **(8,258)** (−8,258 ÷ 1,691,850) = **(0.5%)**
Selling, General & Administrative Expenses	(1,469,425 − 1,364,265) = **105,160** (105,160 ÷ 1,364,265) = **7.7%**
Goodwill Impairment	(307,000 − 0) = **307,000**
Asset Impairments	(431,115 − 24,082) = **407,033**

	(407,033 ÷ 24,082) = **1,690.2%**
Operating Income	(149,515 − 1,021,911) = **(872,396)** (−872,396 ÷ 1,021,911) = **(85.4%)**
Operating Income (% of Revenue)	149,515 ÷ 4,102,108 = **3.7%** 1,021,911 ÷ 3,962,347 = **24.9%**

(in thousands)

Crocs' cost of sales for the year came in at 1,683,592 thousand for 2024, slightly lower than the 1,691,850 thousand in 2023. The selling, general, and administrative expenses have increased from 1,364,265 thousand to 1,469,425 thousand.

For the year 2024, the company recorded goodwill and asset impairment charges, which affected the operating income. The operating income decreased from 1,021,911 thousand in 2023 to 149,515 thousand in 2024, and the operating margin decreased from 24.9% to 3.7%.

Crocs, Inc. Form 10-K, Consolidated Statements of Operations, p. F-3.

Cash Flows

Complete the table below for Cash & Cash Equivalents. You can pull this total number from the Balance Sheet. (3 points)

Description	Current Year ($) A	Prior Year ($) B	$ Change (A − B)	% Change (A − B) / B
Cash & Cash Equivalents	180,485	149,288	31,197	20.9%

Dollar Change	180,485 − 149,288 = **31,197**
Percent Change	31,197 ÷ 149,288 = **0.209 = 20.9%**

(in thousands)

Crocs ended the year 2024 with cash and cash equivalents of 180,485 thousand, up from 149,288 thousand in the previous year, 2023, showing an increase of approximately 31,197 thousand, or 20.9 percent.

Crocs, Inc. Form 10-K, Consolidated Statement of Cashflows, p. F-7.

Stock Price

What is the market price of the Company's stock on the day you are preparing this? (Use Google, nyse.com, or nasdaq.com for data). Discuss the one-year trend in the stock price. (Optional: Include a price chart in your answer) (3 points)

Currently,the stock is trading at around $86 per share as of March, 9 2026. In the last year or so, the stock has moved around but has generally trended downward. The stock started the year 2025 in the range of $105–$115, declined throughout the middle of 2025 to around $75, and then moved mostly in the range of $80–$90 toward the end of the year. The last few months have seen the stock fluctuate but remain near the mid-$80 range. Thus, the stock is currently trading lower than its levels from early last year.

Figure: CROX 1-Year Stock Price Trend



Source: NASDAQ, Crocs Inc. (CROX) stock price

Audit Reports

Identify who the company's Auditor is and read their reports. There may be more than one report included in the 10-K – if so, please read and reference both. Describe what message each report is trying to convey and explain what comfort the reports give you (3 points)

The unqualified opinion from Ernst & Young LLP means that Crocs, Inc.'s financial reporting complies with GAAP, and their reporting is accurate and complete. Therefore, investors may be assured that Crocs' financial reporting is accurate and complete, and that their internal controls are effective in providing this assurance to investors.

Furthermore, it also represents to investors that Crocs' corporate governance practices are sound, which includes risk management and control environments as provided by the Audit Committee.

Aside from its sound financial reporting, Crocs also has a sound cybersecurity program in place, which includes having a formal Incident Response Plan in alignment with NIST SP 800-61. Crocs' strong internal controls and established risk management imply a serious commitment to cybersecurity and mitigating cyber risk to financial reporting, even if not explicitly stated.

Considering that cyber risk is becoming increasingly linked to corporate financial performance and success in executing their business strategy , having sound internal controls and a well-established risk management framework reduces the risk that cyber incidents could disrupt Crocs' operations and affect its financial reporting.

Furthermore, having their Audit Committee oversee their cyber risk management within their enterprise risk management framework also enhances their corporate governance, which may be beneficial in maintaining long-term investor confidence.

Crocs, Inc. Form 10-K, Report of Independent Registered Public Accounting Firm (Ernst & Young LLP).

Investment Decision

Would you invest in this company's stock? Why or why not? Be very thorough. Stating "I would invest in the company because I like its products" will NOT be eve close to sufficient for full points. While there is no right answer (you can answer either Yes or No), you must support your answer with information you obtained from your previous analysis (eg, competition, litigation, revenue trends, expense trends, stock price, dividend payments, EPS, debt/equity ratio, current ratio, net income trends, etc.). In other words, assume the entire purpose of your report was to help you answer this final question, so base your answer to this question on the data you gathered previously. Use high quality writing. Be thorough for full points. (10 points)

I would not invest in Crocs right now. It's a well-known company, but the recent results raise a number of issues.

The problem is the sharp decline in operating income. It fell from 1,021,911 thousand in 2023 to 149,515 thousand in 2024. The operating margin fell from 24.9 percent to 3.7 percent. The main factor was a 307,000 thousand goodwill impairment. While revenue, cash, and earnings per share were all up, the sharp decline in operating income indicates that the company's business is not doing as well as expected.

Costs climbed, including selling and administrative expenses plus impairment charges. Those pressures pushed down operating income, even as cash rose from 149,288 thousand to 180,485 thousand.

On a positive note, the current ratio looks good for the company. In fact, the audit opinion was clean from Ernst & Young. Revenue increased slightly, but operating income fell sharply. The net income for 2024 was 950,071 thousand, whereas the net income for 2023 was 792,566 thousand. Yet profitability remains weaker. The stock has trended lower over the last year, so I'd wait for a clearer improvement in performance before considering an investment.

Professionalism

Does your paper include all of the formatting requests discussed in pages 1 and 2 of these instructions? Outside references used should be included here at the end. Page number references from the 10K should be included throughout. Professionalism of your deliverable counts. (10 points)

I followed the guidelines to the letter, kept the format tight and precise, and provided the 10-K where necessary. I mimicked the format of the guidelines, provided a professional and yet practical writing style, and created a neat cover page including an active link to the SEC filing.. Part I deals with the company's background, risks, and environment. Part II addresses the current ratio, inventory, PP&E, long-term debt, stockholders' equity, and EPS, including notes and footnotes. I provided calculations in the text so that the figures can be verified within the 10-K filing I'm referencing.